

PCI PCL-AI · COURSE OUTLINE

# Finance and delivery. One profession.

---

The syllabus for the AI Project Controls Leader — the credential that examines the accounting **and** the arithmetic of delivery, because a project needs both and almost nobody is trained in both.

**13 domains · 61 knowledge areas** →

## WHY THIS CREDENTIAL EXISTS

# Two professions. One project.

### THE ACCOUNTANT

#### Knows the money

- When revenue may be recognised
- What a provision must satisfy
- Which costs may be capitalised

Rarely examined on a critical path, an earning rule, or why a schedule slip becomes a cost.

### THE ENGINEER

#### Knows the work

- Where the critical path runs
- What the float really is
- How progress is measured

Rarely examined on cut-off, a contract asset, or the difference between billed and earned.

A project lives in the overlap. **The overlap is where the money is lost**, and it is the one place neither training looks.

## WHAT THE OVERLAP COSTS

# A CPI of 1.19 and 1.05 from the same month



Earned value 2,200,000. Invoiced cost 1,850,000. The error is **accounting** — a cut-off failure. The damage is **delivery** — a performance index a board will act on.

An accountant who never reads a CPI will not see it. A planner who never raises an accrual will not see it either. **That is the case for this credential in one month-end.**

THE SYLLABUS

# Forty, forty, twenty





## THE FINANCE HALF

# Standards a controls lead is examined on

---

### IFRS 15

revenue from contracts with customers — the five-step model, over-time recognition, variable consideration and the constraint

### IAS 37

provisions and contingent liabilities — behind every warranty reserve, onerous-contract charge and dispute disclosure

### IAS 2

the materials and work-in-progress a project holds in store

### IAS 16 / IFRS 16

the plant a project owns, and the plant and premises it leases

### IAS 23

the financing cost of building a major asset

### IAS 1

presentation of financial statements

### IAS 11

the construction-contracts standard IFRS 15 replaced — covered so legacy terminology in an older file still reads

## DOMAIN 2 · REVENUE

# The recognition chain, in full

---

---

**Percentage of completion (PoC) = Costs incurred to date / Total estimated costs**

over-time recognition by the input method

---

**Cumulative revenue = PoC × Transaction price**

revenue earned to date

---

**Period revenue = Cumulative revenue – revenue recognised in prior periods**

what lands in this month

---

**Contract asset (liability) = cumulative revenue – cumulative billed**

over- or under-billing, on the balance sheet

---

Recognition is not billing. A project can be profitable, fully billed and **still carry a contract liability**.

# Before the number exists

---

---

**Assets = Liabilities + Equity**

the identity every ledger satisfies

---

**catch-up = PoC × revised price – revenue recognised to date**

the cumulative catch-up when the price is revised

---

**Revised transaction price = fixed price + constrained variable consideration**

variable consideration, constrained

---

**Capitalised borrowing cost = weighted-average qualifying expenditure × capitalisation rate**

IAS 23 — financing cost inside the asset

---

**NRV = estimated selling price – costs to complete and sell**

IAS 2 — the write-down test on stored materials

---

# Contract to cash

---

---

**Amount = quantity × rate**

the bill-of-quantities line, before anything else happens

---

**amount due = gross value – retention – previous payments**

the payment application

---

**Fee = target fee + contractor's share × (target cost – actual cost)**

target-cost pain/gain share

---

**LD exposure = LD rate × forecast days late**

liquidated damages, forecast not incurred

---

**CCC = DSO + DIO – DPO**

cash conversion cycle, in days

---



DOMAIN 6 · EARNED VALUE

# The delivery half



|                |               |
|----------------|---------------|
| $CV = EV - AC$ | cost variance |
|----------------|---------------|

|                |                             |
|----------------|-----------------------------|
| $SV = EV - PV$ | schedule variance, in money |
|----------------|-----------------------------|

|                 |                        |
|-----------------|------------------------|
| $CPI = EV / AC$ | cost performance index |
|-----------------|------------------------|

|                 |                            |
|-----------------|----------------------------|
| $SPI = EV / PV$ | schedule performance index |
|-----------------|----------------------------|

|                   |                                   |
|-------------------|-----------------------------------|
| $SV(t) = ES - AT$ | earned schedule variance, in time |
|-------------------|-----------------------------------|

|                    |                                            |
|--------------------|--------------------------------------------|
| $SPI(t) = ES / AT$ | the index that still works near completion |
|--------------------|--------------------------------------------|

# There is no ‘the’ EAC



Three formula-valid forecasts, **130,000 apart**, from one month's data. Naming which one you used, and why, is the skill.

DOMAINS 4, 9, 12

# Why the number moved

---

---

**Price/rate = (actual price – standard price) × actual quantity**

price variance

---

**usage/efficiency = (actual quantity – standard quantity) × standard price**

usage variance — the other half of the story

---

**EV = (points done / total points) × BAC**

earned value when scope is a backlog

---

**EMV = probability × impact**

expected monetary value — how risk enters a forecast

---

PART ONE · 40%

# Finance, accounting and reporting

---

## 1

5 KAs

### Foundations of accounting for project controls

The accounting model · Components of the financial statements · Accrual accounting and the matching concept · Cost provisions and cost accruals · Chart of accounts and cost coding for projects

---

## 2

5 KAs

### Financial reporting and the standards

The reporting framework · IFRS 15 Revenue from Contracts with Customers · Revenue recognition beyond the basics · Other relevant standards for project controls · Management reporting versus statutory reporting

---

## 3

5 KAs

### Budgeting and forecasting

Budgeting fundamentals · Cost estimation · The time-phased budget, or cost baseline (planned value) · Forecasting · Cash-flow forecasting

---

## 4

4 KAs

### Performance management, variance analysis and management reporting

Performance management principles · Variance analysis · Management reporting · Data visualisation and storytelling for controls

---



PART TWO · 40%

# Project management

---

|          |                                                                                                                                                           |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>5</b> | <b>Cost management and cost control</b>                                                                                                                   |
| 4 KAs    | The cost management framework · The cost control cycle · Cost breakdown and control accounts · Change control and cost impact                             |
| <b>6</b> | <b>Earned value management and forecasting</b>                                                                                                            |
| 4 KAs    | EVM fundamentals · Variances and performance indices · Forecasting with EVM: the EAC family · Integrating cost and schedule, limitations, earned schedule |
| <b>7</b> | <b>Contracts, commercial management, BoQ, invoicing and revenue</b>                                                                                       |
| 5 KAs    | Types of contract · Contract management · Bills of quantities · Invoicing and applications for payment · Revenue recognition in the commercial cycle      |
| <b>8</b> | <b>Project management lifecycle</b>                                                                                                                       |
| 6 KAs    | Initiating · Planning · Executing · Monitoring and controlling · Closing · Development approaches: predictive, iterative, incremental and adaptive        |

PART TWO · CONTINUED

# Delivery, schedule, process and risk

---

- 
- |                    |                                                                                                                                                                                                                                                                                  |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>9</b><br>6 KAs  | <b>Agile, Scrum and adaptive delivery for project controls</b><br>Agile foundations · The Scrum framework in depth · Backlogs, estimation and agile metrics · Kanban, Lean and scaling · Agile cost control, forecasting and earned value · Hybrid delivery and agile governance |
| <b>10</b><br>4 KAs | <b>Project scheduling, in depth</b><br>Schedule development · Network analysis and the critical path method · Schedule compression and resourcing · Progress measurement and schedule control                                                                                    |
| <b>11</b><br>3 KAs | <b>Business process cycles</b><br>Order-to-cash · Procure-to-pay · Internal control and segregation of duties                                                                                                                                                                    |
| <b>12</b><br>3 KAs | <b>Risk management for project controls</b><br>The risk framework · The risk process · Contingency and management reserve                                                                                                                                                        |
-

PART THREE · 20%

# AI, governed

---

## 13 AI for project controls and project management

7 KAs

AI foundations for professionals · Data: the fuel · Prompting and working with generative AI · AI tool categories for project controls and PM · AI applied across the project-controls lifecycle · Governance, ethics, risk and assurance of AI · Building an AI-augmented project-controls capability

$$F1 = 2 \times (\text{precision} \times \text{recall}) \div (\text{precision} + \text{recall})$$

whether the model is worth running at all

A model with 99% recall and 4% precision buries the team in false positives. **“The AI found something” is not a control.**

## BEHIND THE SYLLABUS

# 113 standards. 532 process requirements.

---

Each states its purpose, who owns the decision, what evidence must exist, what practice is prohibited, what triggers escalation, **what AI may never decide, approve or certify** — and a compliance test an assessor can perform.

They are certification requirements established by the Institute. They are not legislation, and nothing here is legal, tax or accounting advice. External standards are named and described in the Institute's own words, never reproduced.



THE PRINCIPLE BEHIND ALL OF IT

**AI proposes.  
The professional  
verifies, decides  
and remains accountable.**

---

The full outline and the three Bodies of Knowledge — [projectcontrolsinstitute.org](https://projectcontrolsinstitute.org)